

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 16-16

MAVL CAPITAL, INC., IAM & AL GROUP, INC., and MAXIM OSTROVSKIY

(Complainants)

v.

MARINE TRANSPORT LOGISTICS, INC. and DIMITRY ALPER

(Respondents)

**REPLY TO COMPLAINANTS' PETITION FOR LEAVE TO
SUPPLEMENT EXCEPTIONS**

Respondent Marine Transport Logistics, Inc. (hereinafter, "Respondent" or "MTL"), submits this Reply to Complainants' March 7, 2017 "Petition For Leave to Supplement Exceptions of Complainants to the Initial Decision Issued In this Proceeding By the Presiding Officer On January 17, 2017."

Complainants' alleged basis for supplementing the Exceptions are that: (A) Complainants "were not in possession" of MTL Bill of Lading no. HBOL15692 prior to the January 17, 2017 Initial Decision; (B) that, presumably, the Bill of Lading is a contract of carriage between the parties; and (C) that an affidavit from a non-party, somehow, materially affects the January 17, 2017 Initial Decision by Administrative Law Judge Clay G. Guthridge ("ALJ Guthridge"). As next discussed, Complainants' contentions are all incorrect or demonstrably false.

A. Complainants had a copy of MTL Bill of Lading no. HBOL15692 in their possession since, at least, April 2014.

First, although it is correct that discovery has not yet taken place in this proceeding, Complainants MAVL Capital, Inc. , IAM & AL Group, Inc., and Maxim Ostrovskiy, with their counsel, Mr. Nussbaum, Esq., conducted extensive discovery on their Shipping Act allegations concerning the same 2006 Mercedes SL65 vehicle during litigation brought by Complainants in the U.S. District Court for the Eastern District of New York, in a case captioned *MAVL Capital, Inc, IAM & Al Group, Inc. and Maxim Ostrovskiy. v. Marine Transport Logistics, Inc., Car Express & Import, Inc., Royal Finance Group, Inc., Aleksandr Solovyev and Dmitry Alper*, Civil Action No. 13-cv-7110 (hereinafter, the “E.D.N.Y. Litigation”). This cannot be and is not challenged by Complainants.

During the course of the E.D.N.Y. Litigation, the MTL Bill of Lading no. HBOL15692, which Complainants are now trying to submit, **was produced** by defendants (represented by the undersigned counsel) to Complainants and their counsel. In fact, the same Bill of Lading was attached to and **submitted to the U.S. District Court by Complainants** in an April 9, 2014 Declaration signed under penalty of perjury by Complainant Maxim Ostrovskiy. Resp. Suppl. Appx. “1”, M. Ostrovskiy April 9, 2014 (E.D.N.Y.) Declaration, at ¶ 3, and Exhibit A to the Decl.¹ (“Per the attached bill of lading received from MTL’s counsel after the start of this litigation, annexed hereto as Exhibit “A” . . .)

This, at the very least, calls into question Complainants’ claims to the Commission that the reason the Bill of Lading was not produced by Complainants prior to the Initial Decision was

¹ As seen from the top-left front page of the Declaration, Mr. Nussbaum, Esq. was also the attorney who submitted the Declaration in the E.D.N.Y. Litigation. The copy of the bill of lading attached to the Declaration did not have a red “ORIGINAL” stamp thereon, but that is a distinction without a difference.

because the “Order to Show Cause . . . was reached prior to any discovery taking place in this matter and the development of a full and complete record” or that “complainants were not in possession of same and were unable to produce said document as part of their Exceptions . . .” (See Compl. Petition, at p. 2).

It thus cannot be disputed that Complainants and their counsel had this bill of lading document in their possession since April 9, 2014, if not even earlier. Whether the parties conducted discovery in this proceeding is immaterial. And, quite clearly, the bill of lading *was* in Complainants’ possession and Complainants were *able* to produce said document. Accordingly, if Complainants believed this Bill of Lading to be relevant, it should’ve been produced prior to the January 17, 2017 Initial Decision. It certainly could’ve been produced when Complainants filed their Exceptions on February 8, 2017.

Moreover, if Complainants failed to recognize its (alleged) relevance or forgot that the document was in their possession, that should’ve been candidly admitted to the Commission, instead of Complainants trying to blame the lack of discovery or trying to deflect responsibility by blaming MTL for not producing it to ALJ Guthridge in response to the Order to Show Cause (which MTL did not do because the document is not material.)

B. Complainants were not a party to MTL Bill of Lading no. HBOL1692 and it is not a contract of carriage between Complainants and MTL.

Notwithstanding that the Bill of Lading was in Complainants’ possession, the Bill of Lading is not a contract of carriage *involving Complainants*. The issue in the Initial Decision, and the issue addressed in Respondents’ Reply to the Exceptions, is whether the Complainants entered into a contract of carriage with MTL to transport the Mercedes from the U.S. to

Germany; not whether MTL subsequently entered into a contract of carriage with a third-party.

As ALJ Guthridge held:

Complainants do not allege any facts supporting a claim that MTL entered into a contract of carriage with Complainants to transport the Mercedes to Germany when it agreed to store the Mercedes.

Initial Decision, at p. 14.

There was no subsequent "union of ship and [Mercedes]," to export the Mercedes overseas until it was placed on the vessel to be transported to Dubai, and *Complainants were not involved in that transportation*.

Initial Decision, at p. 17 (emphasis added).

In accepting all of Complainants allegations as true, ALJ Guthridge found that Complainants had nevertheless failed to allege that a contract of carriage existed between Complainants and MTL. MTL Bill of Lading no. HBOL15692 does not change or affect ALJ Guthridge's finding. Correspondingly, whether MTL "assumed responsibility for the transportation" of the Mercedes on a separate and *subsequent* contract of carriage, between MTL and a non-party, was not at issue in the Initial Decision or in Respondent's Reply to the Exceptions.

C. The affidavit and testimony by non-party Alexander Safonov is not relevant to Complainants' claims.

Finally, Alexander Safonov is not a party to this proceeding but instead is a complainant in *Crocus Investments, LLC, v. Marine Transport Logistics, Inc., et al.*, FMC Docket No. 15-04. Safonov was not the listed shipper or exporter on the MTL Bill of Lading. Safonov's company, Middle East Asia Alfa, was the consignee on the MTL Bill of Lading, but Middle East Asia is also not a party to this proceeding. Even assuming that Safonov's affidavit is admissible or has

the proper foundation (which Respondent does not), Safonov's denial that his company purchased the Mercedes from respondents is, thus, not relevant.

The important question which Complainants have not answered in their Petition is how any of this "evidence" establishes a factual basis to allege that MTL and Complainants entered into a contract of carriage to transport the Mercedes from the U.S. to Germany. In failing to, or purposely avoiding, answering this question, Complainants are now merely spinning the wheel needlessly at the expense of the Commission's time and resources while also needlessly forcing Respondent to respond and correct the record.

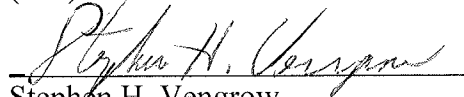
For all the foregoing reasons, Respondent respectfully requests that the Commission deny Complainants leave to "supplement" the record or take any of Complainants' attachments into account when reviewing the Exceptions.

Dated: March 9, 2017

New York, NY

Respectfully submitted,
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CERTIFICATE OF SERVICE

The undersigned declares under penalty of perjury that the following is true and correct:

1. I am over the age of eighteen years and I am not a party to this action.
2. On March 9, 2017, I served a complete copy of Respondent's REPLY TO COMPLAINANTS' PETITION FOR LEAVE TO SUPPLEMENT EXCEPTIONS and RESPONDENT MARINE TRANSPORT LOGISTICS, INC.'S APPENDIX OF DOCUMENTS IN REPLY TO COMPLAINANTS' PETITION TO SUPPLEMENT EXCEPTIONS in Docket No. 16-16 by mailing same to the below parties by regular mail, and by e-mail to:

Original plus 5 copies to:

Secretary, Federal Maritime Commission
800 N. Capital St., NW.
Washington DC 20573-0001
secretary@fmc.gov

Copy by regular mail only to:

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Eric Chang

Dated: March 9, 2017
New York, New York